

Business-driven enterprise financial model

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State: DERIVED CONDITIONAL PLANNING IMPLEMENTATION

Owner: Finance; business owners own their operational inputs

Purpose and authority

The [accepted development direction](#) authorizes deeper business records and finance. The [September 8 Advisory/Atlas closeout](#), current Cradle/Willow decisions and industrial ownership sources control their scope. This implementation supplies a separately versioned numerical model. Acceptance approves the repository implementation and its disclosed assumptions; it does not convert synthetic transactions into historical facts or approve a tax election, price list, funding commitment or operating permit.

Replacement boundary

The successor preserves 2026 legal journals exactly by scenario, source account and segment. From January 2027 it replaces the old Core revenue/cost growth envelopes and generic new sustaining capital with explicit business journals. Existing Core assets continue depreciation; opening working capital and debt remain. Accepted industrial forecasts enter once. Reciprocal investments, legal owners, finite equity envelopes, shared-service charges and eliminations retain the existing enterprise mechanism.

A complete removal/addition bridge reconstructs the new forecast from the prior v2 forecast, including induced Treasury and annual-close changes. Seven operating-unit slices plus corporate and eliminations reconcile exactly to legal trial balances. Unit clearing accounts are reporting allocations and same-entity transfers, not external funding.

Economic production by business

Line	Revenue or output event	Cost and control evidence
Foundry Field	Accepted deployment; annual subscription invoice; one month of service	Customer cohorts, renewal/churn, ARR/concentration, support/deployment capacity and hosting
Atlas Meridian	Separate institutional product license and accepted product/design-partner work	Dedicated product staffing, reserved support capacity, internal evaluations without external revenue
Advisory	Accepted committed-fee milestone; separately certified variable outcome	One common bench, independent acceptance/review/Value Office, approved baseline, measured outcome, payout cap, rework and client transfer
Willow	Continue/change/kill/qualified transfer of bounded experiments	Occupied-person payroll, materials, reusable asset receipt, depreciation and paired transfer at carrying basis
Project Cradle	Downstream acceptance of a captured/assayed lot	Distinct mineral-tonne and water-volume mass balances, host stop/bypass, NRV, Bedford lineage and host settlement after collection

Line	Revenue or output event	Cost and control evidence
Pale Sun / Red Wash	Preserved physical industrial production and accepted sales model	Production, inventory, census, custody gates, maintenance, closure and mine-upgrade sensitivity
ARU / BS&T	Preserved contract/service-volume economics	Routes, customers, service manifests, procurement matches, equipment, workforce, debt and legal reporting

Advisory fee and staffing discipline

Measurable Value Matters model the proposed 60% committed / 40% variable structure. Capability Matters use an explicit committed component and testable transfer gate; Decision Matters remain fixed fee with no contingent recommendation incentive. The contractual payout curve has a threshold, interpolation and cap. Independent certification applies the declared attribution fraction and records the original baseline hash. Below-threshold outcomes can earn zero variable fee.

Hours consume paid capacity and delivery cost. Rejection and rework cannot create additional committed fees. Acceptance can defer recognition even where billing has created a receivable and deferred-revenue liability. Declined matters generate neither delivery nor billing. Matter Principal, Acceptance Principal, originator, Independent Reviewer and Value Officer are separately identified synthetic roles. Atlas license fees are not bundled into matter fees.

Conditional workforce records distinguish authorization from occupancy. Each occupied person is paid once; assignment fractions sum to one. Four Advisory governance positions do not supply delivery capacity. Two Willow staff contribute fractional assignments; neither J2 nor Atlas supplies an Advisory staffing reserve. J2's 237 authorized billets remain distinct from a conditional occupancy scenario. Eligibility tests cannot grant carry, and no carry expense or obligation is accrued.

Working capital, equipment and cash

Annual subscriptions and committed matter billing create gross receivables and deferred revenue. Accepted performance releases deferred revenue. Explicit due dates and collection delays drive receivable aging; a separately labeled expected-loss estimate produces the allowance. Vendor costs accrue to payables before scheduled cash requests.

Stream 17 direct processing and assigned direct labor enter captured-lot inventory once; modeled net realizable value can reduce carrying cost. Demotte experimental work remains expense. Capture is not a sale. Accepted assayed product releases inventory cost, accrues host share and invoices the customer. Host settlement follows customer collection. A hard bypass yields no recovered output.

Reusable equipment is capitalized and depreciated from the following month. Qualified transfers move original gross cost and accumulated depreciation with no enterprise profit or cash. Existing legacy asset balances remain separate.

Treasury tests all cash requests against finite member support and the minimum cash floor. Unfunded operating requests, equipment requests and debt principal are separately classified liabilities; only identified requests are eligible for deferral. Subsidiary funding cannot be redirected by this mechanism. Later repayments retain their original cash-flow class. A funding gap marks an infeasible conditional plan. It does not assert an agreed payment extension, allow equipment to operate without qualification or erase creditor rights.

Management and capital views

A nonposting support allocation spreads net corporate cost using declared occupied/FTE weights, while preserving direct segment books and statutory shared-service charges. It is a management comparison, not a second expense posting. Industrial accepted workforce counts are kept distinct from conditional Core occupancy.

The quality-of-balance-sheet view shows reported equity and equity excluding the retained \$30 million unallocated legacy intangible. It supplies no invented acquisition or impairment evidence. The standalone mine-upgrade appraisal includes common mine capital omitted from the earlier differential logistics comparison. Closure cost/support

sensitivities are independent planning assumptions, not replacements for the accepted booked ARO or engineering estimates.

Evidence and acceptance

Source code and explicit inputs live in [enterprise/business](#). The [unit export contract](#) governs complete populations, classifications and verification. Financial validation tests balanced journals, event lineage, person assignments, capacity, mass constraints, subledger rollforwards, exact legacy preservation, Core replacement, unit/legal reconciliation and cash flows. Portable databases and workbooks are checked against their source populations; stale/unmanifested files and hash changes fail verification.

CI builds from a clean revision, exercises the boundary tests and publishes a review artifact. An accepted main build publishes a complete versioned release with source identity, validation and checksums. The [release index](#) is the distribution front door. Frozen earlier releases remain independently reproducible.